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CHIEF INVESTMENT OFFICE

Capital Market Outlook

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Macro Strategy—*The U.S. Capex Boom No One is Talking About*—And Its Implications: We have long been of the belief that the U.S. is on the cusp of an inbound foreign direct investment (FDI) capital expenditure (capex) boom that can result in numerous positive spillover effects for the U.S. economy. To wit, FDI inflows totaled nearly $240 billion (B) in the first six months of this year, a staggering 103% jump from a year ago and placing FDI inflows on track for a record year. Among the factors behind surging inflows: rising U.S. trade protectionism; extraordinary consumer purchasing power; America's massive investment cycle in Artificial Intelligence (AI); abundant energy supplies; deep capital markets; and a highly developed technological ecosystem. Meanwhile, an increasingly important source of capital for the U.S. is coming from an unlikely source: the developing nations. We are in the early innings of a structural—not cyclical—capex cycle that could lead to the rebuilding of domestic supply chains, higher value-added manufacturing and more AI-driven productivity growth. U.S. affiliates of foreign multinational companies, though largely invisible to the average U.S. investor, bolster the long-term competitive advantage of the U.S. via income, jobs, growth and tax revenue. All the above are the secret ingredients to stronger U.S. economic growth, rising corporate earnings and higher equity prices.

Market View—*Europe's Electoral Cycle and Market Risks:* As midterm elections approach for the U.S. next month, voters across Europe will also enter their own election season starting this November and continuing throughout 2027. Over the next year, 52% of the total European Union (EU) population, representing 46% of EU gross domestic product (GDP) across eight countries will go to the polls, including voters in three of its four largest economies. Europe's electoral cycle potentially presents a greater hurdle for closer EU integration and could contribute to rising risks from bond market volatility in France and elsewhere. Moreover, upward pressures on inflation mean more European Central Bank (ECB) interest rate hikes are still expected over the coming months. We continue to see pockets of strength in European markets but remain cautious on the region overall.

Thought of the Week—*Cautious Optimism Entering Fiscal Year 2027:* Between structurally higher mandatory outlays, the administration's $1.5 trillion (T) proposed defense package, and the 10-year U.S. Treasury yield above 5%, spending as we enter fiscal year (FY) 2027 is likely headed higher. We continue to fade concerns of an impending U.S. debt crisis largely because economic growth continues to surprise to the upside. Still, after another $2T deficit in FY 2026, creating fiscal space will be politically unpopular and mathematically challenging. The biggest near-term tail risk would be a surprise move lower in growth, as budget deficits at 6% of GDP in good times leave little room for bad times. This isn't our base case given strong consumer spending and ongoing investment in the AI buildout and beyond. Meanwhile, demand for Treasurys remains robust, with yields at their most attractive level in decades.

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MACRO STRATEGY ▶

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Portfolio Considerations

A series of macro shocks, including higher energy prices, rising Treasury yields, and shifting Federal Reserve expectations, have tested markets, but resilient economic growth, strong corporate earnings, and ongoing Artificial Intelligence-related investment continue to support a constructive outlook for Equities and risk assets.

We remain overweight Equities, favors U.S. stocks, sees potential opportunities in broader market participation and select cyclical sectors, and views higher bond yields as attractive to add income and extend duration.

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The U.S. Capex Boom No One is Talking About—And Its Implications

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

We have long been of the belief that the U.S. is on the cusp of an inbound FDI capex boom that can result in numerous positive spillover effects for the U.S. economy. The latest figures from the U.S. Department of Commerce bear this out.

Exhibit 1 highlights the growing push among foreign multinationals to be inside the U.S., with FDI totaling nearly $240B in the first six months of this year. That is a staggering 103% jump from a year ago and places FDI inflows on track for a record year.

The latest inbound capex already adds to the massive scale of foreign investment in the U.S. To wit, the accumulated stock of FDI in the U.S. stands at nearly $6T, based on the latest figures from the Bureau of Economic Analysis (BEA). Manufacturing accounts for roughly 43% of the total, and, at last count, some 10,000 foreign affiliates were operating in the U.S.

These firms are largely invisible to the average U.S. investor, but the activities of U.S. affiliates of foreign multinationals are substantial and competitive- and growth-enhancing. To this point and based on the latest data from the BEA, foreign affiliates in the U.S. employed nearly 8.6 million U.S. workers in 2024. That represents 6.1% of total private sector employment, with manufacturing and retail the two most prominent sectors of employment. Roughly 24% of all manufacturing jobs in the U.S. are from foreign subsidiaries. In terms of pay, U.S. workers at these firms make $89,000 annually, 7% higher than the national average, according to the Global Business Alliance.

Foreign affiliates also contributed some $1.5T to U.S. GDP; comprised some 15.7% of total U.S. private sector investment; accounted for 12.4% of total U.S. research & development (R&D) expenditures; paid roughly 20% of all U.S. federal taxes; and made up 22.5% of U.S. exports and 26.2% of U.S. imports.[1] These are the direct effects of U.S. subsidiaries of foreign companies operating in the U.S. The indirect effects are even greater in terms of more income, jobs, growth and tax revenue—all bolstering the long-term competitive advantage of the U.S. In a nutshell, foreign firms operating in the U.S. are an important ingredient of U.S. economic growth.

There are multiple factors behind surging inflows: One, due to rising U.S. trade protectionism, foreign multinationals increasingly want to be "inside" the U.S. economy, not outside. Companies that once served the U.S. market exclusively through exports increasingly face higher costs and more uncertainties and hence want to be "inside."

Two, with a $32T-plus economy with extraordinary consumer purchasing power, foreign firms prefer to be closer to their customers via investment than just trade (exports). There is no more dynamic consumer in the world than the American shopper.

Three, America's massive investment cycle in AI, data centers, semiconductors, power generation, etc., has created numerous investment opportunities for many foreign firms that don't want to miss out on America's surging capex cycle.

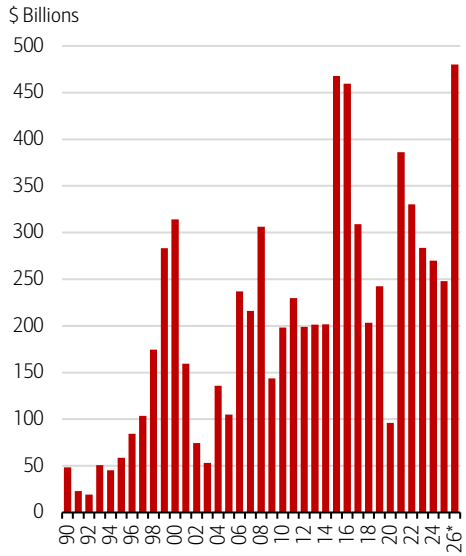
Four, and finally, abundant energy supplies, deep capital markets and a highly developed technological ecosystem have also induced more FDI inflows.

As more U.S. affiliates of foreign multinationals set up shop in the U.S., think more job creation across the country, more manufacturing output, more locally sourced purchases, more U.S. exports, more spending on R&D, and more tax revenue for local communities. And over the long run, think a more globally competitive U.S. economy.

Investment Implications

The boom in foreign investment in the U.S. should continue to support employment, productivity, corporate earnings, and broader U.S. economic competitiveness, in our view. Hence our U.S. bias.

Exhibit 1: FDI Inflows to the U.S.



*Annualized. Source: BEA. Data as of October 16, 2026.

[1] Activities of U.S. Affiliates of Foreign Multinational Enterprises, 2024" and "Activities of U.S. Affiliates of Foreign Multinational Enterprises, 2023", BEA July 2026.

And speaking of global competitiveness, Exhibit 2A is very illustrative of the magnet pull of the U.S. economy to attract FDI versus the rest of the world. Of new greenfield investment this decade, note the overriding preference for the U.S., accounting for nearly 16% of total global greenfield investment this decade. America's share is larger than the next three countries combined—the United Kingdom, India, and Germany. And note that America's share of new investment is more than 5X that of China's. Most of this new investment has gone into manufacturing sectors like electrical equipment, computers, appliances and batteries and has originated from Asia and Europe.

The bulk of foreign investment comes from Europe, followed by Japan and Canada, but as Exhibit 2B highlights, there is a new dynamic playing out when it comes to America's ability to attract capital. There is a new source in town: a handful of developing nations (namely Taiwan, South Korea, Mexico and Brazil). Mexican manufacturers, Taiwan technology leaders, South Korea chip leaders, Brazil industrial firms, India pharmaceutical firms—these companies and more are realizing that in today's trade environment, the best way to serve the American market is not necessarily through exports but through investment—investing locally. FDI flows from developing nations reached $63B in the 12 months through June, more than double the level a year prior ($24.5B), according to the BEA. Fueled by insatiable AI demand, flows from South Korea alone totaled $23.4B in the first half of 2026. The upshot is that an increasingly important source of capital for the U.S. is coming from an unlikely source: the developing nations.

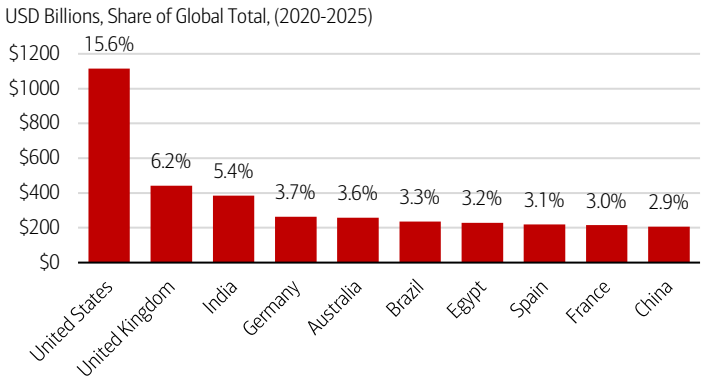
More fire for the capex boom. The coming boom in FDI inflows is supportive of our thesis that the U.S. stands on the cusp of a major industrial upgrade. We are in the early innings of a structural—not cyclical—capex cycle that should lead to the rebuilding of domestic supply chains, higher value-added manufacturing, and more AI-driven productivity growth. Foreign firms, in our opinion, will be part of this process.

That is important to recognize because remember the following: when a foreign company builds a factory or an R&D facility or expands its existing manufacturing capacity right here in the U.S., good things happen. Demand for U.S. goods and services goes up (as does demand for construction, materials, logistics and professional services). New jobs are created, boosting incomes of U.S. workers, while supporting more local spending and consumption. And because many foreign firms often bring advanced manufacturing technologies when investing in the U.S., the end results include a boost in productivity and innovation in various sectors of the economy.

All the above, of course, are the secret ingredients to stronger U.S. economic growth, rising corporate earnings and higher equity prices. With a little help from our friends, America's industrial renewal is gaining strength and momentum.

Exhibit 2: Foreign Companies Say Yes to the U.S.

A) Top 10 Greenfield FDI Destinations Globally.



B) FDI Inflows into the U.S. from Developing Countries.*

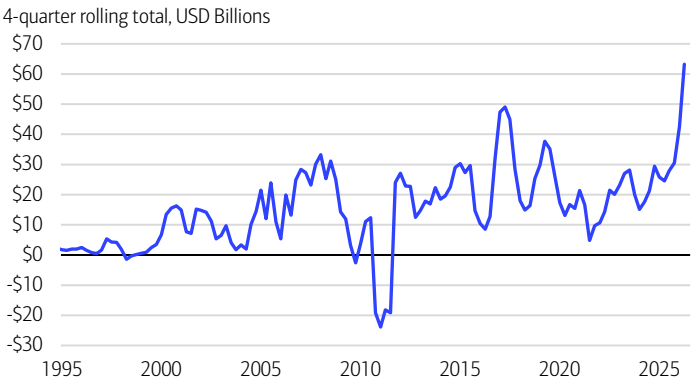


Exhibit 2A) Bar labels refer to share of global total. Source: United Nations Conference on Trade and Development. Data refers to 2020-2025 cumulative. Data as of October 16, 2026.
Exhibit 2B) *Developing countries includes developing Europe, Latin America excluding other Western Hemisphere countries, Middle East, Africa, and developing Asia. Source: BEA. Data through Q2 2026, as of October 16, 2026.

Europe's Electoral Cycle and Market Risks

Ehiwario Efeyini, *Director and Senior Investment Strategist*

As midterm elections approach for the U.S. next month, voters across Europe will also enter their own election season starting this November and continuing throughout 2027. Over the next year, 52% of the total EU population, representing 46% of EU GDP across eight countries, will go to the polls, including voters in three of its four largest economies (Exhibit 3). Having announced snap general elections earlier this month, Spain will vote for members of its lower and upper house on November 29. A series of parliamentary elections are then due for 2027 in Estonia (by March 7), Finland (on April 18), Greece (by July 25), Slovakia (by September 28), Poland (by November 11) and Italy (by December 22). And perhaps most consequentially France will stage Presidential elections on April 18, with a potential second round of voting set for May 2.

For the EU as a whole, the significance of these coming elections will be the potential for a shift toward more populist, domestically oriented policy priorities from leading opposition candidates (particularly in France, Spain and Poland) which could obstruct the process of closer EU integration. In the nearer term, adoption of the new seven-year (2028-2034) EU budget due by the end of 2027 could be impeded. And over the longer term, renewed efforts toward an EU-wide capital market union to deepen and attract more inward investment into European markets could also be further delayed.

At the country level, investors have seen bond yields rise globally in 2026 on the back of higher inflation and concerns over fiscal sustainability. The debt question has arguably been most pressing in parts of Europe, especially given the likelihood that upcoming elections make for domestic increases in government largesse. And of the eight countries going to the polls over the next year, France remains the biggest source of concern. Interest rate spreads on French 10-year sovereign bonds have overtaken those in both Greece and Italy this year (Exhibit 4), driven by investor concerns over public debt. The 2027 government budget unveiled earlier this month projected a deficit of 5.0% of GDP (well in excess of the 3% specified in the EU Stability and Growth Pact), but remained insufficiently expansive to nullify the risk that the current government could be unseated later this year if it is forced through the fragmented parliament. This comes on top of an existing debt load of close to 120% of GDP and a halving of official 2026 growth forecasts from 1.0% at the start of the year to 0.5% in September. In short, all four variables in France's debt sustainability equation currently stand as major headwinds, and the two leading candidates in the 2027 election have shown limited appetite for fiscal consolidation over the coming years.

Investment Implications

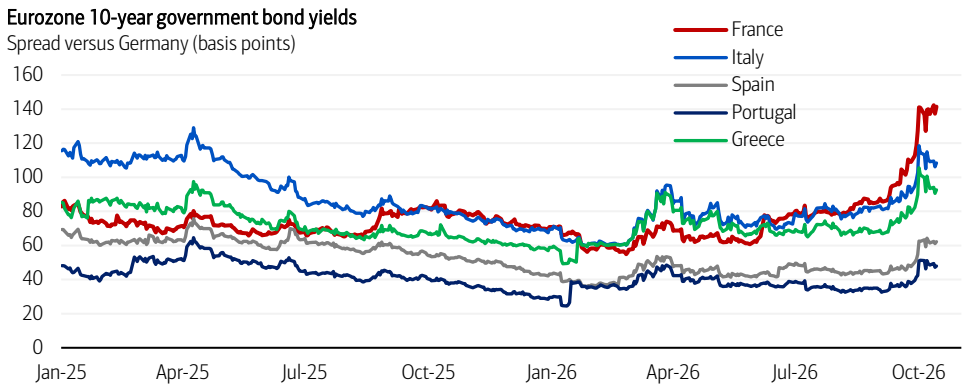
We remain cautious on European markets overall, despite seeing pockets of strength in selected areas such as defense, data center infrastructure and renewable energy. On top of growing uncertainty from the upcoming electoral cycle and interest rate outlook, rising competition and slowing demand from China continue to challenge key segments of the Consumer Discretionary sector. And limited direct AI concentration also leaves Europe under-exposed to the key growth theme that continues to buoy equity markets in the U.S., Japan and emerging Asia.

Exhibit 3: Europe's Upcoming Elections Represent Around Half of EU GDP and Population.

European 2026/2027 Cycle				
Country	Election Date	Election Type	GDP in USD bn (EU share)	Population in millions (EU share)
Spain	29-Nov-26	General	1,800 (9.0%)	49.7 (11.0%)
Estonia	By March 7, 2027	Parliamentary	45 (0.2%)	1.4 (0.3%)
France	18-Apr-27	Presidential	3,211 (16.1%)	68.6 (15.2%)
Finland	18-Apr-27	Parliamentary	304 (1.5%)	5.6 (1.2%)
Greece	By July 25, 2027	Parliamentary	267 (1.3%)	10.4 (2.3%)
Slovakia	By September 28, 2027	Parliamentary	147 (0.7%)	5.4 (1.2%)
Poland	By November 11, 2027	Parliamentary	980 (4.9%)	36.6 (8.1%)
Italy	By December 22, 2027	Parliamentary	2,423 (12.1%)	59.0 (13.0%)

Source: International Monetary Fund (IMF), European Union. Data as of 2025.

Exhibit 4: French Sovereign Debt Spreads Have Widened Significantly Over Recent Months.



Source: Bloomberg. Data as of October 14, 2026.

Intervention from the ECB under its 2022 bond purchase program is also unlikely at this stage given that the spread widening in France has not appeared either disorderly or unwarranted. Meanwhile, conditions could potentially be aggravated by expected ECB rate hikes in response to still above-target inflation across the eurozone. Indeed recent moves to tighten monetary policy from a number of major central banks have been read most hawkishly in Europe. Most of the increase in European bond yields has come from higher inflation breakevens as opposed to real yields in the U.S. and Japan. And despite some paring back of tightening expectations in the wake of recent bond volatility, the market is still pricing three more policy rate increases over the next 12 months.

Euro depreciation and an emerging shift toward more protectionist trade policy with China could further complicate the ECB policy outlook. China posted a record $35B trade surplus, according to Eurostat, with the EU in September (alongside its $938B total surplus for the first three quarters of 2026), and the two markets have agreed to reduce the EU bilateral deficit by capping imports of hybrid cars for four years. Hybrids account for less than 2% of total EU imports from China, but this could potentially mark the start of a broader shift toward more trade protection in Europe with its largest foreign supplier which risks adding further upward pressure to cost-push inflation. And though the leading candidates in the French election may favor resuming oil and gas imports from Russia, Europe also remains among the most at risk from the global energy shock. Indeed some 56% of the region's crude oil consumption is in the form of diesel product according to the International Energy Agency, more than twice the U.S. share.

The 2- to 10-year eurozone yield curve has already flattened significantly since the start of the year. And at just over 30 basis points as of mid-October, it remains flatter than its equivalents in the U.S., UK and Japan. Outside Energy and Technology, Financials have been among the strongest-performing sectors in Europe this year. But additional ECB rate hikes could lead to further curve flattening, compressing bank net interest margins and contributing to slower growth—particularly given that rate increases are coming in response to supply-driven inflation rather than reflecting stronger economic activity.

We nonetheless continue to see pockets of strength in European markets. Growing defense budgets should remain a tailwind for Industrials as national governments look to meet their North Atlantic Treaty Organization targets over the next several years. And the sector should be further supported by indirect exposure to AI investment through electric cabling, power infrastructure and building materials for data centers. Leaders in renewable energy equipment and services are also likely to be beneficiaries of grid upgrades and broadening electrification globally, particularly given elevated fossil fuel prices. But our view on the region remains cautious overall. On top of growing uncertainty from the upcoming electoral cycle and interest rate outlook, rising competition and slowing demand from China continue to challenge key segments of Europe's Consumer Discretionary sector. Limited direct AI concentration in technology hardware, cloud services and application software also leaves Europe underexposed to the key growth theme that continues to buoy equity markets in the U.S., Japan and emerging Asia.

Cautious Optimism Entering Fiscal Year 2027

Ariana Chiu, *Assistant Vice President and Investment Strategist*

"A renewed focus on rebuilding fiscal space is urgent, given elevated debt, higher borrowing costs, multiplying demands on public budgets and heightened uncertainty." So warned the IMF about the global fiscal outlook last week in its updated World Economic Outlook report. Much is at stake for developed nations in Europe and Asia facing high existing debt, unfavorable demographics and more modest growth.

For the U.S., between structurally higher mandatory outlays, the administration's $1.5T proposed defense package, and the 10-year U.S. Treasury yield sitting above 5%, spending is likely headed higher. We continue to fade concerns of an impending U.S. debt crisis, however, largely because economic growth continues to surprise to the upside. Expanding output is good news for the debt-to-GDP ratio, which remains a touch below 100%. Indeed, rather than being led higher on account of un-anchored inflation expectations, the 10-year U.S. Treasury yield has repriced to reflect better-than-expected nominal growth (Exhibit 5A). Higher yields in the face of slowing growth, meanwhile, would be a different story, not only for the fiscal outlook (worse) but also for U.S. equity valuations (lower).

Of course, after the U.S. accumulated another $2T deficit in FY 2026,[2] "rebuilding fiscal space" in the IMF's words will be politically unpopular and mathematically challenging. In our view, the biggest near-term tail risk would be a surprise move lower in growth as budget deficits at 6% of GDP in good times leave little room for bad times. This isn't our base case given robust consumer spending per our internal credit and debit card data and ongoing investment in the AI buildout and beyond. We expect these two pillars to sustain growth in 2027.

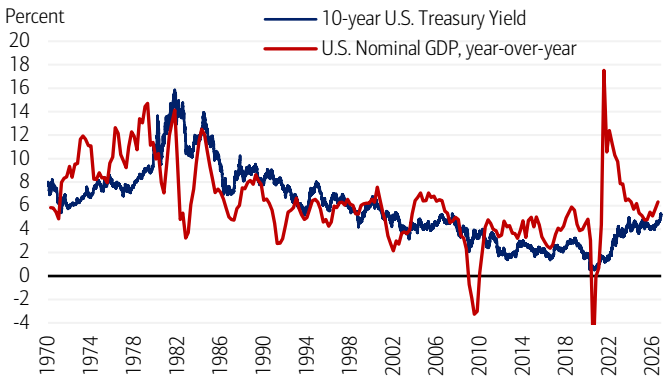
The other good news is that, contrary to concerns, demand for Treasurys remains robust. Yields are attractive—that was the message from October's successful $39B 10-year Treasury note auction. At the same time, U.S. debt boasts an array of buyers: domestic households, the Federal Reserve, mutual funds and exchange-traded funds, money market funds, pension funds, foreign central banks, private investors overseas, and more. Per Exhibit 5B, whereas foreign official investors once dominated some 40% of the U.S. Treasury market during the 2008/2009 Great Financial Crisis, their share has fallen to 12% while domestic private investors now account for a majority of holdings. Translated: demand is more diverse than most appreciate.

Investment Implications

In our view, higher nominal and real yields present a compelling entry point for investors seeking income and can provide cushion in the face of higher rate volatility. We expect demand for U.S. assets to remain healthy and favor the U.S. over developed economies in Europe facing more modest growth and fiscal instability.

Exhibit 5: Higher Yields Meet Shifting Composition of U.S. Treasury Demand.

A) Higher 10-year Yield Consistent with Strong Nominal Growth Environment.



B) Domestic Private Investors Now Dominate U.S. Treasury Market.

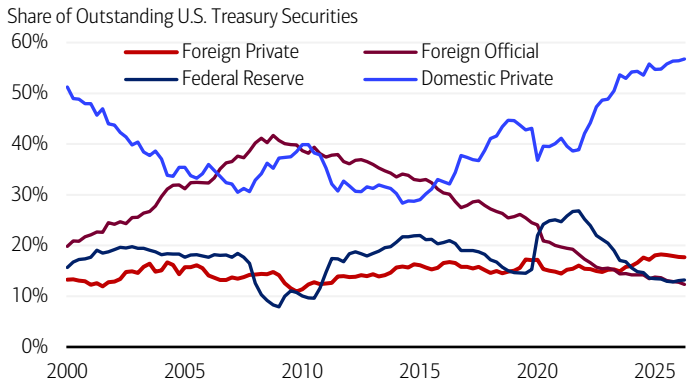


Exhibit 5A) Source: Bloomberg. Data as of October 15, 2026. Exhibit 5B) Source: Federal Reserve. Data through Q2 2026, as of October 15, 2026.

[2] U.S. Treasury as of October 16, 2026.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	52,002.41	0.7	2.2	9.5
NASDAQ	26,140.03	-4.5	-2.7	13.0
S&P 500	7,659.44	-1.9	0.1	12.9
S&P 400 Mid Cap	3,615.78	-1.4	0.6	10.5
Russell 2000	2,721.37	-3.0	-2.7	10.7
MSCI World	4,907.78	-1.1	0.1	11.9
MSCI EAFE	3,122.04	1.4	-0.1	10.2
MSCI Emerging Markets	1,620.63	-5.1	-4.9	17.3

Fixed Income†

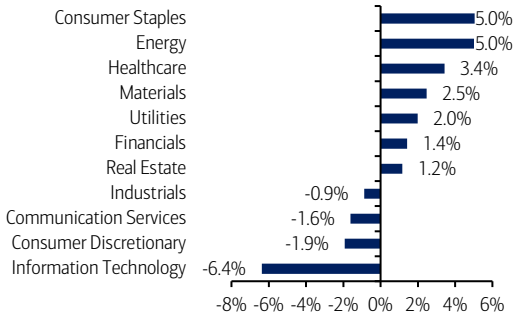
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.28	0.89	1.27	-1.61
Agencies	5.08	0.54	0.83	-0.37
Municipals	4.48	1.31	2.02	-2.24
U.S. Investment-Grade Credit	5.39	0.88	1.32	-1.63
International	5.89	0.86	1.33	-1.82
High Yield	8.38	-0.33	-0.09	0.01
90 Day Yield	4.16	4.14	4.11	3.63
2 Year Yield	4.71	4.79	4.89	3.47
10 Year Yield	5.07	5.24	5.28	4.17
30 Year Yield	5.42	5.60	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	374.52	0.4	2.0	35.6
WTI Crude $/Barrel††	101.41	10.4	12.2	76.6
Gold Spot $/Ounce††	4165.58	-0.7	0.2	-3.6

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.12	1.12	1.13	1.17
USD/JPY	158.02	158.31	157.41	156.71
USD/CNH	6.69	6.69	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 10/12/2026 to 10/16/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/16/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/16/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.4	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.5*	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.5*	3.9	3.5	2.7
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.7	2.6	2.7
Unemployment rate (%)	4.3	4.3	4.1	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 16, 2026.
Sources: BofA Global Research; GWIM ISC as of October 16, 2026.

Asset Class Weightings (as of 10/6/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of October 6, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 13, 2026

All data, projections and opinions are as of the date of this report and subject to change.

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Macro Strategy—*Consumers Feel One Way, but Spend Another:* Americans have spent much of the past several years telling surveys they are cautious about the economy. Yet they continue to spend as though they are not. The final estimate of Q2 real consumer spending, as measured by Personal Consumption Expenditures (PCE), was revised up to an annualized rate of 3.8%, well above the 2.3% 20-year average.

The persistence of consumer spending is particularly notable given that temporary cyclical boosts like larger tax refunds are starting to fade. That raises an important question: What is actually funding strong consumption today? Recent data suggest the drivers are becoming increasingly more diversified, with broadening labor market trends, healthy consumer finances and elevated wealth effects all reinforcing one another and underpinning consumers.

Market View—*The Bull Market Turns Four:* Four years on, the bull market that emerged from the gloom of 2022 is still standing and kicking, with the S&P 500 up roughly 130% since the October 2022 lows. Yet the more than doubling of the S&P 500 has hardly been linear. Along the bull's rocky path: the failure of Silicon Valley Bank in March 2023, an inverted yield curve and recession concerns, anxieties of an Artificial Intelligence (AI) bubble, and "Liberation Day" and the April 2025 trade-policy shock.

This year, the bull has taken in stride the energy shock from the war in the Middle East, shifting Federal Reserve (Fed) interest rate expectations, and rising uncertainty about the midterm elections. Looking forward, bull markets don't die of natural causes. It takes a convergence of signals turning south—think deteriorating earnings revisions, higher interest rates, widening credit spreads, tighter lending standards, growth disappointments, stretched valuations and sentiment, deteriorating market breadth, and an external shock. We believe the bull will continue to rumble in its fifth year, with AI revenues and productivity gains justifying AI infrastructure costs. The path won't be linear, but we expect the bull to keep rumbling, roaming and kicking in 2027.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is our view of the macro and market landscape heading into 2027 and beyond?

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MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

A series of macro shocks, including higher energy prices, rising Treasury yields, and shifting Federal Reserve expectations, have tested markets, but resilient economic growth, strong corporate earnings, and ongoing Artificial Intelligence-related investment continue to support a constructive outlook for Equities and risk assets.

We remain overweight Equities, favors U.S. stocks, sees potential opportunities in broader market participation and select cyclical sectors, and views higher bond yields as attractive to add income and extend duration.

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Consumers Feel One Way, but Spend Another

Kirsten Cabacungan, ***Vice President and Senior Investment Strategist***

Americans have spent much of the past several years telling surveys they are cautious about the economy. Yet they continue to spend as though they are not. The University of Michigan's Consumer Sentiment Index remains near multidecade lows, while the Conference Board's Index of Consumer Confidence has also been in a yearslong downtrend. These surveys reflect a list of persistent concerns from elevated food and gas prices to geopolitical uncertainty and labor market anxiety.

Even so, consumer spending has remained remarkably resilient. The final estimate of Q2 real consumer spending, as measured by PCE, was revised up to an annualized rate of 3.8%, well above the 2.3% 20-year average. More recent data suggest that momentum has continued. According to Bank of America Institute, the latest monthly total credit and debit card spending data per household rose 6.2% year-over-year (YoY) in September, and spending excluding gasoline was up 5.1% YoY, both the third strongest growth rates in the past four years.[1]

The persistence of consumer spending is particularly notable given that temporary cyclical boosts like larger tax refunds are starting to fade. That raises an important question: What is actually funding strong consumption today? Recent data suggest the drivers are becoming increasingly more diversified, with broadening labor market trends, healthy consumer finances and elevated wealth effects all reinforcing one another and underpinning consumers.

First, the labor market continues to provide an important foundation for consumer spending, and recent trends suggest wage growth is supporting a broader set of households than in recent years. Jobs growth has slowed from the exceptionally strong pace seen following the pandemic, but broader indicators suggest labor market conditions remain relatively stable. Although the September jobs report came in softer than expected, the three- and six-month rolling averages indicate that the trend in jobs growth likely bottomed out last year and has gradually improved since (Exhibit 1A). Meanwhile, the unemployment rate remains low by historical standards and layoffs remain contained. And while wage growth has moderated and recently trailed headline inflation (Exhibit 1B), cumulative income gains over the past several years have likely helped many households absorb higher prices better.

An important development though has been improving wage growth trends among lower-income households, where spending tends to be most sensitive to changes in wages. Bank of America Institute consumer deposit account data show after-tax wage growth for lower-income households outpaced higher-income households for a second consecutive month in August, rising 4.7% YoY compared with 3.5% for higher-income households. Importantly, this improvement appears to be supporting discretionary spending, not just spending on necessities. Lower-income discretionary spending rose 5.7% YoY in August, nearly matching the 5.9% pace for higher-income households. In other words, the narrowing gap in wage and spending growth across income cohorts suggests consumer resilience looks to be becoming less dependent on affluent households alone, creating a broader and more durable foundation for consumption.

Second, household finances remain in relatively good shape, providing consumers with the flexibility to continue spending. The ratio of household debt to disposable personal income remains near its lowest level since the late 1990s, excluding the temporary distortions caused by pandemic-related income support in 2020 and 2021 (Exhibit 1C). Recent revisions to the Bureau of Economic Analysis national income accounts also suggest consumers have a larger financial buffer than previous data suggested. Personal saving estimates over the past year have been revised higher by $320 billion, or 39%, and the revised savings rate remains above 4% after previous estimates showed it fell to 3% during the summer.[2] Concerns that consumers may be rapidly exhausting their savings buffers may therefore be overstated. Supporting this view, Bank of America Institute consumer

Investment Implications

Consumer spending strength remains a key pillar of economic and earnings growth, which keeps us constructive on our Equity overweight. The growing connection between household wealth and spending reinforces the importance of maintaining a diversified portfolio.

[1] Bank of America Institute, "Consumer Checkpoint: Strength in numbers." As of October 9, 2026.
[2] Bank of America, "Massive Savings Markup = Another Reason to Be Bullish." As of October 2, 2026.

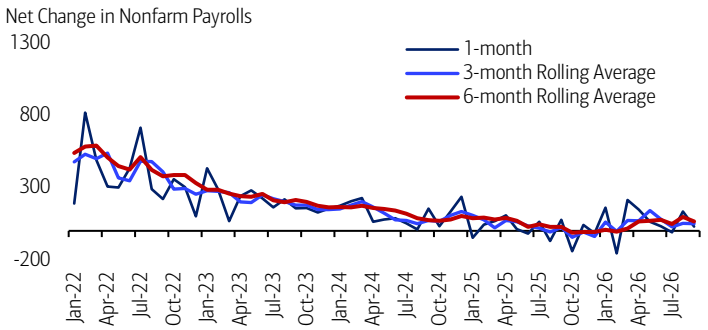
deposit account data show that middle- and lower-income households continue to maintain deposit balances above prepandemic levels across age groups.

Third, elevated household wealth continues to provide a powerful tailwind for consumer spending, particularly among households that account for an outsized share of overall consumption. U.S. household net worth rose $12.8 trillion (T) to a record $195.9T in Q2, driven largely by gains in Equities, which contributed $10.7T of the increase (Exhibit 1D). As a result, household net worth relative to disposable income climbed to a record 8.3, meaning households now hold more than eight dollars of wealth for every dollar of annual disposable income. Households are also sitting on $35.8T in home equity, an all-time high level that provides a significant balance sheet cushion. Rising asset values have helped to support spending through what economists refer to as wealth effects. In other words, when households feel wealthier, they tend to be more willing to spend.

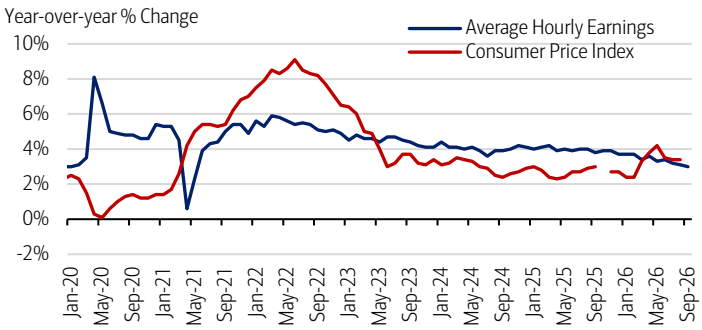
For investors, the key takeaway is that consumer spending is being supported by multiple engines despite the weaker sentiment data. Labor income trends are supporting wider participation, healthy balance sheets are helping households absorb economic pressures, and elevated household wealth continues to sustain higher-income spending. Together, these forces are supportive of economic growth and corporate profits, which is particularly important since the consumer accounts for roughly 70% of U.S. gross domestic product. That said, it does not eliminate risk. A meaningful risk to the consumer would be a scenario in which both the labor and wealth engines weaken simultaneously. For now, labor market conditions remain stable, and wealth effects remain supportive. Equity market pullbacks in recent years have done little to derail consumer spending, suggesting it would likely take a deeper and more prolonged drawdown to alter consumer behavior.

Exhibit 1: Consumer Spending is Being Supported by Multiple Engines.

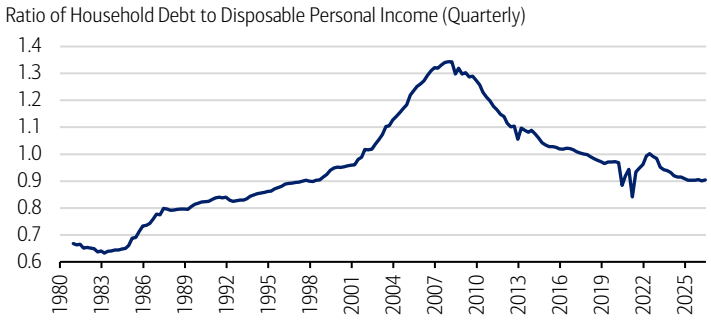
A) Jobs growth has stablized.



B) Wage growth have helped offset higher prices.



C) Household leveage near cycle lows.



D) Wealth effects remain a tailwind.

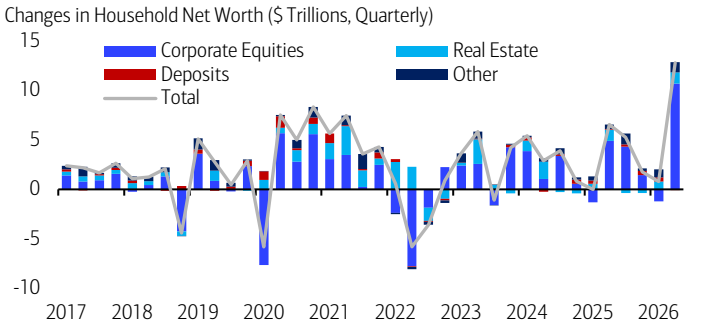


Exhibit 1A) Source: Bureau of Labor Statistics, Bloomberg. Data as of October 8, 2026. Exhibit 1B) Note: The Bureau of Labor Statistics did not collect survey data for October 2025 due to a lapse in appropriations amid the U.S. government shutdown. Source: Bureau of Labor Statistics, Bloomberg. Data as of October 8, 2026. Exhibit 1C) Source: Federal Reserve; Financial Accounts of the United States. Quarterly data through Q2 2026 as of September 11, 2026. Exhibit 1D) Note: Corporate Equities include both directly held securities and securities held indirectly in mutual funds, defined contribution pension plans, and variable life insurance and annuity products. Deposits include money market fund shares. Real estate is owner-occupied real estate. Other includes consumer durable goods, fixed assets of nonprofit organizations, equity in noncorporate business, hedge fund shares, and all other assets apart from those shown, net of liabilities. Sources: Federal Reserve; Financial Accounts of the United States. Quarterly data through Q2 2026 as of September 11, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

The Bull Market Turns Four: Older, Unloved—But Still Kicking

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

Four years ago this month, virtually no one was in the mood to buy U.S. Equities, and for good reasons.

Rewind to October 2022: Inflation the month before clocked in at an annual rate of 8.2%. The yield curve was inverted, a signal that has preceded most past recessions. Consumer sentiment was abysmal, having dropped to a record low in June 2022. Recession concerns were mounting, with an October Wall Street Journal poll survey putting the odds of a recession within 12 months at about 63%. And realizing (belatedly) that inflation was not "transitory," the Fed was in the midst of administering one of the most aggressive monetary tightening cycles in decades, raising the fed funds rate five times between March and September 2022 by a stunning 300 basis points.

Reflecting the mood at the moment, the S&P 500 closed at 3,577 on October 12, 2022, down 25% below its January peak, leaving investors battered and bruised but blind to the fact that the market had bottomed. Four years on, the bull market that emerged from the gloom of 2022 is still standing and kicking, with the S&P 500 up roughly 130% since the October 2022 lows.

The more than doubling of the S&P over the past four years has hardly been linear—and has been accompanied with plenty of pain and doubt. Exhibit 2 maps the rocky path trodden by the bull over the past four years. Less than six months into the rally, the markets were rocked by the failure of Silicon Valley Bank (SVB) on March 10, 2023. The S&P Regional Banks Select Industry Index lost 18% that week and stoked concerns of massive deposit runs and credit stress across the capital markets. However, owing to emergency intervention by the government, lower yields and strength elsewhere in the markets, the crisis passed. Some banks failed that month, but the bull market didn't.

Investment Implications

The adoption phase of the AI buildout should translate to broader earnings growth and performance across sectors, reinforcing our conviction in U.S. Equities. Given a strong fundamental backdrop, we would continue to buy on weakness as the bull enters its fifth year

Exhibit 2: Revisiting the Rocky Path Trodden by the Bull.

Period	"Reason to Sell"	What happened instead
October 2022	Inflation >8%, aggressive Fed tightening, recession concerns	Bull market begins
March 2023	SVB/regional banking crisis	Stocks keep climbing
2023-24	Inverted yield curve, "recession inevitable"	Economy keeps expanding
2024	"Magnificent 7* bubble," narrow breadth, expensive valuations	Earnings propel market higher
2025	Tariffs, trade war, policy uncertainty	Market absorbs another shock
2026	Oil/diesel shock, 5%+ yields, Fed tightening, geopolitical risks	Bull reaches fourth birthday

*Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft and Tesla. Source: Chief Investment Office. As of October 9, 2026.

But recessionary concerns hung like threatening clouds over the markets for most of 2023. Aggressive Fed tightening, an inverted yield curve, and soft economic data were all taken as harbingers of an economic slowdown and profits recession. Yet the S&P 500 continued to climb in 2023, up 26.3% for the year, driven in large part by the outsized price performance of the Magnificent Seven.

Investors spent much of 2024 fretting about a market too dependent on technology, and therefore a market too narrow and too expensive. The unwinding of the Japan carry trade in August 2024 engendered more angst, as did uncertainties around the 2024 U.S. presidential election. But despite a host of misgivings, the S&P 500 delivered total returns of 25% in 2024. The unloved bull marched on.

Total returns in 2025 were robust as well—roughly 18%—notwithstanding—yet again—a number of headwinds. In late January, DeepSeek, a cheaper China AI model, raised questions about America's technology leadership and the need to spend enormous sums on chips and data centers. The Nasdaq promptly dropped by 3.1% thereafter.

January's jolt was followed by "Liberation Day," or the warning of punishing U.S. tariffs on America's major trading partners. The trade-policy shock of April 2025 caused the S&P 500 to drop nearly 19% from its February high to its April 8 low on uncertainty that higher import costs would decrease corporate margins and consumer spending and upend global supply chains. Amid the trade tumult, Treasury prices fell and the U.S. dollar weakened on concerns that foreigners were abandoning U.S. assets. Remember all the angst over the dollar debasement trade? If that wasn't enough, expensive valuations and enormous capital commitments raised doubts about the AI trade and triggered talk of an AI bubble. Yet despite this wall of worry, the S&P 500, for the third year running, posted double-digit gains in 2025.

And double-digit gains could be in store this year, with the S&P 500 up 14% through October 9. The bull has rumbled on, taking in stride the energy shock from the war in the Middle East, the shift in interest rate expectations from the Fed (from rate cuts to rate hikes), and the rising uncertainty associated with the midterm elections. These headwinds have been countered by tailwinds such as better-than-expected corporate earnings and better-than-anticipated real growth.

Finally, as Exhibit 3 makes clear, what has given this bull so much muscle has been the U.S. Technology sector, specifically the Magnificent 7. Powering the bull has been the Magnificent 7, with a staggering 344% return since the 2022 lows, while U.S. technology has delivered a 277% return versus the S&P 500's return of 130%. Note the outperformance of the S&P 500 relative to the main international indices.

Looking forward: Is the bull's greatest strength also its Achilles' heel? Bull markets don't die of natural causes. And they typically don't expire because of one particular signal or indicator. Bull markets turn to bear markets when a cluster of signals/metrics turn south. Think deteriorating and downward earnings revisions, higher interest rates, widening credit spreads and tighter lending standards, growth disappointments, stretched valuations and sentiment, deteriorating market breadth, and an external shock. Any one of these signals could flash red and not trouble the bull. But when they converge or feed off each other, that's trouble.

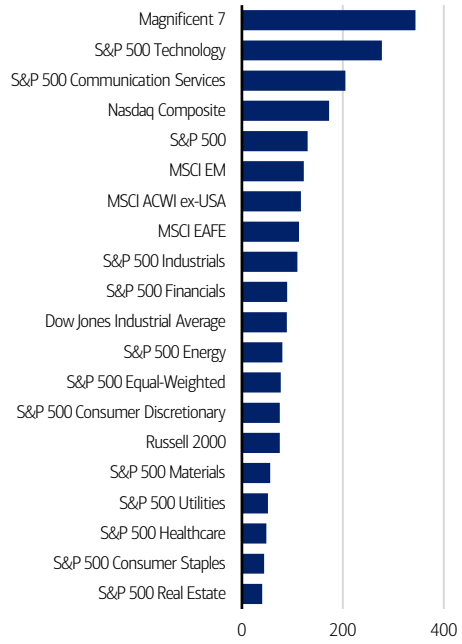
In addition, since a great deal of the earnings growth, market leadership and capital expenditures (capex) spending of this bull market have come from the technology sector, the bull's greatest strength could become its greatest vulnerability. AI has become an investment ecosystem unto itself, and hence the fifth year of the bull market will pivot in part around AI revenue, frontier model adoption rates, infrastructure spending, free cash flows, depreciation costs, debt issuance, data center utilization, cloud growth, and competition via cheaper models and computing alternatives. To put it mildly, there is a great deal at stake when it comes to the bull and AI.

However, this is where we stand today: We believe the bull will continue to rumble ahead next year, with AI revenues and productivity gains justifying the costs of the AI infrastructure. Critically, AI is moving from the buildout phase, dominated by chipmakers and hyperscaler capex, into the adoption phase, where software firms, healthcare, finance, energy and a myriad of other firms start to see productivity gains and margin expansion from rising AI adoption rates. We believe this will give better breadth to the S&P 500; so too will continued profit growth across various U.S. sectors, AI investment that starts to pay off, and an economy capable of absorbing setbacks or periodic bouts of uncertainty.

The path forward won't be linear—and there will be fits and starts, and market drawdowns. That's normal for any market. But that aside, the bull will keep rumbling, roaming and kicking in 2027.

Exhibit 3: Leaders and Laggards Heading Into 5th Year of Bull Market

Total Return Since October 12, 2022 in USD terms (%)



Source: Bloomberg. Data as of October 8, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

What is our view of the macro and market landscape heading into 2027 and beyond?

Christopher Hyzy, *Chief Investment Office*

A supply side-led economic expansion continues, driven by capital investment in the AI buildout, solid consumer spending and fiscal tailwinds still blowing, albeit with less force. This creates a backdrop that keeps nominal growth well-above trend and, importantly, above the interest cost on national debt.

The interest rate backdrop largely remains the same as of today, but, instead of the sharp increases that we experienced in 2026, the curve should settle down, and yields should remain relatively range bound. The Fed is likely to tap on the breaks a couple of more times before reassessing new inflation, growth and employment trends later in 2027.

Concerns surrounding credit risk and "circular" financing are likely to rise the further we move into the AI buildout, but we do not expect a default cycle to develop. Rather, we expect the sharp backup in yields to place pressure namely on lower-quality credits in areas having a difficult time building the cash flow necessary to pay the higher interest costs.

We expect a broadening out within the market but technology to still maintain its heavyweight positioning. As we move from training and evolving the large language models to agentic, and physical AI new leaders are likely to develop. In addition, we anticipate AI adopters such as biotechnology, transport, logistics, advance manufacturing and financial companies to enter new growth and productivity phases.

Lastly, overall earnings growth in the U.S. should be low to mid double-digit percent stages in 2027, which is about half of the growth from 2026 thus far but still around double from normal levels.

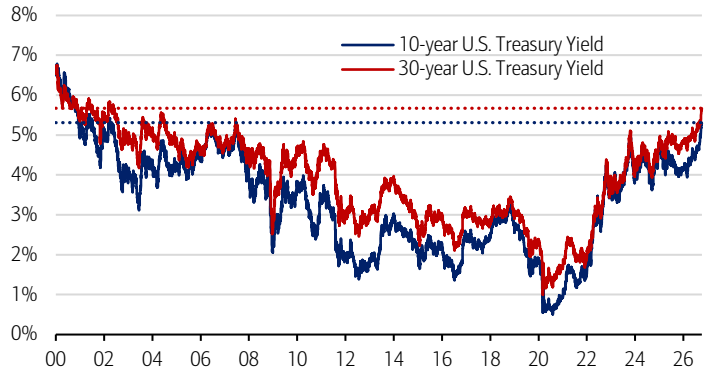
Credit risks developing and higher energy prices for longer are the main risks to our bull case for Equities extending further into 2027 and beyond.

Investment Implications

AI-driven investment, resilient growth, and solid earnings support a constructive 2027 outlook, though higher energy prices and emerging credit risks warrant monitoring.

Exhibit 4: The Corporate Profit Cycle is Here to Stay Despite Developing Risks.

A) U.S. Treausry Yields at Multi-decade Highs.



B) EPS Growth to Remain Above Trend in 2027..

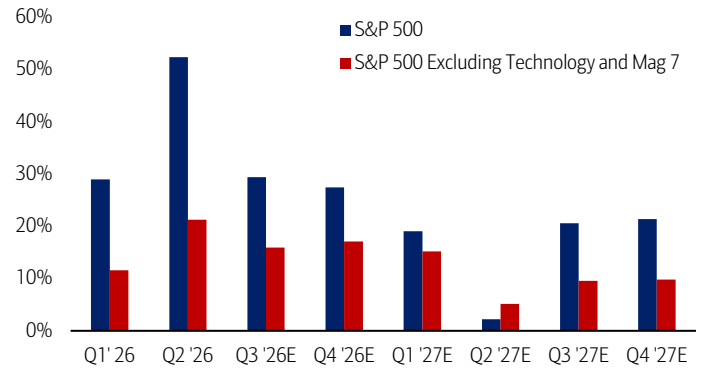


Exhibit 4A) Blue dotted line represents the 10-year U.S. Treasury Yield 2026 high. Red dotted line represents the 30-year U.S. Treasury Yield 2026 high. Source: Bloomberg. Data as of October 8, 2026. Exhibit 4B) E = Estimate. Source: FactSe. Data as of October 8, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,654.95	1.0	1.5	8.8
NASDAQ	27,366.17	0.6	1.9	18.3
S&P 500	7,811.54	1.2	2.1	15.1
S&P 400 Mid Cap	3,669.17	0.0	2.1	12.1
Russell 2000	2,806.98	-0.9	0.4	14.1
MSCI World	4,962.41	0.7	1.2	13.1
MSCI EAFE	3,078.66	-0.5	-1.5	8.7
MSCI Emerging Markets	1,708.77	0.0	0.3	23.7

Fixed Income†

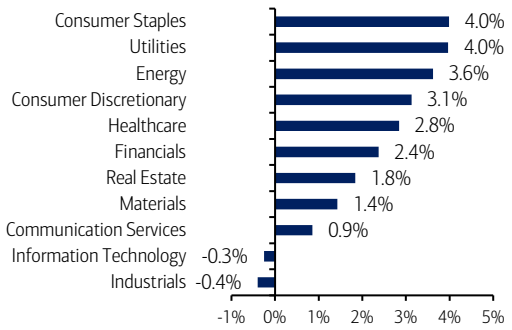
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.40	0.37	0.38	-2.48
Agencies	5.18	0.23	0.28	-0.91
Municipals	4.66	-0.32	0.70	-3.51
U.S. Investment-Grade Credit	5.51	0.39	0.44	-2.48
International	5.99	0.48	0.47	-2.66
High Yield	8.24	0.20	0.24	0.34
90 Day Yield	4.14	4.09	4.11	3.63
2 Year Yield	4.79	4.82	4.89	3.47
10 Year Yield	5.24	5.27	5.28	4.17
30 Year Yield	5.60	5.62	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	372.96	1.8	1.6	35.0
WTI Crude $/Barrel††	91.85	0.8	1.6	60.0
Gold Spot $/Ounce††	4194.24	1.3	0.9	-2.9

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.12	1.13	1.13	1.17
USD/JPY	158.31	157.85	157.41	156.71
USD/CNH	6.69	6.71	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 10/5/2026 to 10/9/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/9/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/9/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.4	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.5*	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.4*	3.8	3.4	2.7
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.1*	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 9, 2026.
Sources: BofA Global Research; GWIM ISC as of October 9, 2026.

Asset Class Weightings (as of 10/6/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of October 6, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

ecurities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

University of Michigan's Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Conference Board's Index of Consumer Confidence measures what consumers are feeling about their expected financial situation, whether that's optimistic or pessimistic.

Consumer Price Index is a statistical measure that tracks the average change over time in the prices paid by urban consumers for a representative "market basket" of everyday goods and services.

Nasdaq Composite Index is a stock market measure that tracks the performance of more than 3,000 stocks listed on the Nasdaq exchange.

MSCI Emerging Markets c is a stock market index that tracks the performance of large-cap and mid-cap companies across 24 developing and fast-growing nations.

MSCI All-Country World Index ex USA is a market-capitalization-weighted stock market index that tracks large- and mid-cap equity performance across developed and emerging markets worldwide, excluding the United States.

MSCI Europe, Australasia, and the Far East (EAFE) Index is a stock market index that measures the performance of large- and mid-cap companies across 21 developed.

Dow Jones Industrial Average Index is a stock market index that tracks 30 major public companies listed on the New York Stock Exchange (NYSE) and Nasdaq.

S&P 500 Equal-Weighted Index is an alternative version of the standard S&P 500 that gives every constituent company an identical weight of 0.2% during each quarterly rebalance, rather than weighting companies by their market capitalization.

Russell 2000 Index is a stock market index that tracks the performance of approximately 2,000 small-cap (small-capitalization) public companies in the United States.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

S&P Regional Banks Select Industry Index comprises stocks in the S&P Total Market Index that are classified in the GICS Regional Banks sub-industry.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 28, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy:* Entering 2026, consensus was expecting moderating U.S. growth, interest rate cuts from the Federal Reserve (Fed), modest earnings growth, contained energy prices, and continued Republican control of Washington. Nine months later, nearly every part of the consensus view has unraveled. Instead, the year has been defined by a succession of five major shocks: a diesel energy shock, a dramatic shift from expected interest rate cuts to rate hikes, an earnings boom, unexpectedly hot economic growth, and a shifting political landscape ahead of the midterm elections.

And yet, the biggest shock of all may not be the shocks themselves but the continued ability of the U.S. economy and corporate sector to overcome them.

Market View—*2026 Has, So Far, Defied the Traditional Midterm Year Playbook:* The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and artificial intelligence remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued. While volatility could rise as election day approaches, seasonal trends turn increasingly constructive into year-end and following the election. For investors, the implication is straightforward: Look through short-term political uncertainty, stay focused on fundamentals, and maintain a long-term perspective. The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and Artificial Intelligence (AI) remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued.

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The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the bond market telling us?

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MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy

Joseph Quinlan, ***Managing Director and Head of Market Strategy***
Lauren Sanfilippo, ***Director and Senior Investment Strategist***

This is the year the consensus got mugged.

Rewind to the start of the year. The market consensus was that the U.S. economy was set to slow. The Fed was set to cut interest rates. Corporate earnings were set to grow—but not explode. Energy prices would remain tame. And the odds looked good that the Republicans would control the House, the Senate, or both, following the midterm election.

Nine months on, the landscape looks starkly different. Defined by five shocks—energy, interest rates, earnings, growth, and politics—2026 looks nothing like the year investors thought they were buying on January 1.

Shock 1: Diesel Matters. While global oil prices have moved higher since the start of the U.S./Iran war on February 28, oil prices have yet to surpass their previous record high because the world has released some 400 million barrels from strategic reserves this year, China has curbed its demand for oil imports, and the U.S. has goosed its energy exports to record highs.

But here is the problem: While gasoline powers the American consumer, diesel powers the American economy—and diesel prices are now sitting at record highs. Diesel supplies have been hammered by wars in the Middle East and Ukraine that have sharply reduced refining capacity. According to the International Energy Agency, by August, exports of diesel from refiners in the Middle East had fallen by a quarter from prewar levels. Meanwhile, Ukraine has hit 24 of Russia's 34 largest refineries, reducing supplies from one of the world's largest diesel exporters. The upshot: U.S. diesel prices have soared from $3.55 a gallon at the start of the year to roughly $6.52 a gallon. While crude oil trades for around $100 a barrel, the retail equivalent of a barrel of diesel now costs more than $260. The diesel shock of 2026 was the last thing investors saw coming—and remains a key impediment to structurally lower inflation.

Shock 2: From Interest Rate Cuts to Rate Hikes. Perhaps no other consensus view entering 2026 has been turned more dramatically on its head than expectations for the Fed. Heading into 2026, markets were pricing in rate cuts on expectations of a cooling labor market, moderating inflation, and slower economic growth. The Fed easing cycle was expected to continue in 2026. In January 2026, futures showed a roughly 50% chance of a cut by March.

Expectations, however, flipped in late February with the start of the U.S./Iran war. The Middle East energy shock reignited inflationary pressures, which, combined with stronger-than-expected U.S. economic growth and a tightening labor market, have demolished the odds of easier money in 2026. Short- and long-term Treasury yields rose sharply last week in the wake of the S&P Global Flash U.S. Composite Purchasing Managers' Index (PMI) which pointed to the strongest business expansion in more than five years and the fastest employment growth in over four years, while also reinforcing expectations that the Fed will maintain a restrictive policy stance for longer. Markets were expecting two to three quarter-point rate cuts in 2026; instead, the Fed has already raised rates once this year and is expected to keep raising rates over the near term.

Shock 3: The Earnings Boom No One Saw Coming. Not all the shocks of 2026 are negative. Indeed, stronger-than-expected corporate earnings have been among the most positive factors of this year. Corporate America entered the year facing questions about tariffs, AI-related capital expenditure spending, the health of the U.S. consumer, operating leverage and the U.S. dollar outlook. At the start of the year, Wall Street was expecting roughly $290 of S&P 500 earnings per share for 2026, per Bloomberg estimates. But by September 21, the estimate had risen by $50, to $340 per share.

Investment Implications

While some of these shocks may contribute to periods of market volatility, the combination of strong earnings growth, robust domestic demand, and ongoing capital investment suggests that the fundamental backdrop for Equities remains constructive.

Earnings have been upgraded and underpinned by several factors, including robust final domestic demand in the U.S., a pickup in global growth, AI-related capital spending, productivity gains, and enhanced operating leverage. All these variables have helped deliver an earnings "shock" to Wall Street. And as an aside, yes, headline profit growth has been inflated by strong technology earnings and one-off investment gains from Amazon and Alphabet. That said, the S&P 500's earnings story remains extraordinary. According to FactSet, the 493 companies excluding the Magnificent 7[1] posted 31.8% earnings growth in Q2, the strongest level since late 2021.

Shock 4: An Economy with more Horsepower than the Headlines Suggest. That corporate profits have exceeded expectations this year is due in no small part to an economy that continues to surprise to the upside. The Fed was supposed to cut rates this year to keep the economy humming and prevent it from losing steam. But rather than limp through 2026, the economy has leaped ahead. Yes, real gross domestic product (GDP) growth of 2.1% in Q1 and 1.5% in Q2 are hardly blockbuster annualized rates of growth. However, the figures belie the underlying strength of the U.S. economy, with real final domestic demand (which strips out trade) running at a 4.2% annual rate in Q2. According to the latest reading of the Atlanta Fed GDP tracker, Q3 real GDP growth is running at a red-hot rate of 5.1%. Slowdown? What slowdown?

Resilient consumer spending, robust capital investment, record levels of new business formation, and strong foreign direct investment inflows have combined to stoke growth in the $32 trillion behemoth called the U.S. economy—the most resilient and dynamic economy in the world.

Shock 5: The Unexpected Washington Reset. The last shock is still in the making, but given current trends, the odds are rising that the Democrats could control both the House and Senate following the midterm elections. To this point, in January, and per Kalshi, the Democrats had a 71% shot at the House and an 18% chance of taking the Senate. Fast-forward to today, and the odds are a 90% chance that the Democrats take the House and a 60% chance that they take the Senate.

How all of this plays out remains to be seen—there are some 36 days before the November vote, and anything can happen. The market base case remains that the Democrats take the House, and the Senate is a toss-up—or too close to call. But with the Democrats expected to control at least one chamber of Congress, investors can expect more volatility and uncertainty about negotiations over the budget, debt ceiling, defense spending and AI regulation. Another political wildcard to watch: the changing dynamics within the Democratic Party.

The Biggest Shock of All for 2026? Perhaps it's not $6 diesel, rising interest rates, solid growth, booming profits or shifting politics. Rather, it's the ability of the U.S. economy to absorb the unexpected, not buckle under stress, and continue generating wealth for investors. To wit, the S&P 500 is on pace for its fourth consecutive year of double-digit returns.

Exhibit 1: The Five Shocks of 2026: What Investors Expected vs. What They Got.

	January 2026 Consensus	September 2026 Reality	The Shock
ENERGY	Relatively contained energy costs	Diesel above $6/gallon	Energy shock—a new tax on the physical economy
INTEREST RATES	Fed easing expected	Fed raised rates 25 basis points in September to 3.75%-4.00%	Rate shock—easing cycle goes into reverse
EARNINGS	Solid but moderating profit growth	S&P 500 Q2 earnings growth headed toward around 29+	Positive earnings shock—corporate America vastly outperforms
POLITICS	Republican control of Washington	Democrats lead 44%-37% in recent generic congressional polling; chamber control remains contested	Political shock—policy outcomes become much less certain
GROWTH	Cooling economy	Fed now projects 2.3% 2026 GDP growth, above its 2.0% longer-run estimate	Growth shock—economy has more horsepower than anticipated

Sources: Chief Investment Office; Federal Reserve; Energy Information Administration; FactSet. Data as of September 2026.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

2026 Has, So Far, Defied the Traditional Midterm Year Playbook

Jordy Fuentes, ***Assistant Vice President and Investment Strategist***

Current Landscape. To no surprise, market volatility persisted in 2026. Performance initially tracked historical midterm election patterns before diverging meaningfully as the year progressed, though there are still three months to go. Several items remain at hand as U.S. voters head to the polls in November, including geopolitical and foreign policy uncertainty, energy driven inflation pressures, affordability concerns, U.S. fiscal trajectory, and rapid advancements in AI. Regardless of the eventual political outcome, history suggests that markets and the economy can perform well across different configurations of government. In our view, markets continue to be anchored by strong fundamentals and encouraging seasonal trends.

Investment Implications

In our view, any related market weakness could represent a potential buying opportunity for long-term investors.

To Be Addressed. U.S. domestic and foreign policy remain in focus as the global reorder, tit-for-tat tariffs, and geopolitical conflicts spanning the Middle East to Eastern Europe have added layers of uncertainty to the U.S. economic outlook.

At the same time, persistent geopolitical flare-ups have pushed oil prices materially higher, adding to inflation pressures and keeping them above the Fed's 2% target. Headline Consumer Price Index (CPI) held above 3% year-over-year (YoY) in August, while its core measure, which excludes food and energy, held at 2.4% YoY. The latest Personal Consumption Expenditure (PCE), the Fed's preferred measure of inflation, also remained above 3% YoY for both its headline and core figures.[2]

The U.S. fiscal trajectory is another area of focus. The U.S. budget deficit stands at 5.4% of GDP, just above this century's average of 4.6%. Meanwhile, U.S. public sector debt surpassed the $40 trillion mark for the first time in August, oscillating around 100% of GDP.[3] While these trends warrant close monitoring, we view them as a slow-moving structural headwind rather than an immediate concern, particularly within a highly innovative and diverse U.S. economy.

AI has emerged as a policy consideration, with debates increasingly centered on both regulatory safeguards and the economic implications of the expanding infrastructure buildout. For voters, those concerns extend to affordability, as the significant energy requirements of new data centers raise questions about potential pressure on electricity costs.

Strap In for The Ride. Leading up to the midterm election, markets tend to experience greater swings as investors navigate uncertainty surrounding the policy path for the remainder of the presidential cycle (Exhibit 2A). Since 1930, the S&P 500 has averaged an intrayear drawdown of 20% in midterm years, with the latest election in 2022 experiencing a 25% intrayear pullback. This year, however, the S&P 500 largest peak-to-trough drawdown has been 9%, considerably shallower than its long-term average (Exhibit 2B). Yet while volatility may rise as election day approaches, 2026 has increasingly defied the traditional midterm year playbook.

Why 2026 is Different. Despite entering a challenging stretch of the presidential cycle, U.S. Equities have materially outpaced the typical year two pattern (Exhibit 2C). The S&P 500 experienced its best Q2 in a midterm year since 1938, surging 14.9% compared to an average decline of 1.6%. From a monthly perspective, September stands out as the weakest month, though month-to-date performance points to an unusual 1.0% rise. That resilience follows a 2.6% gain in August, another month in which performance meaningfully exceeded the historical decline of 0.5% (Exhibit 2D).

Through September, U.S. Equity resilience has also extended beyond headline returns with both the frequency and magnitude of market pullbacks remaining relatively subdued. Market corrections of 10% or more have occurred in just 29% of midterm election years since 1930.[4] Against this backdrop, the market's last correction came in spring 2025, while this year has

[2] Bloomberg, Bureau of Labor Statistics. Data through August 31, 2026.
[3] U.S. Treasury, Bureau of Economic Analysis. Data as of September 21, 2026.
[4] Bloomberg, data through December 31, 2022.

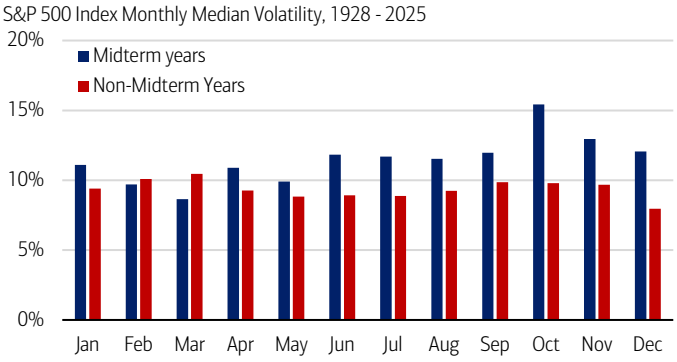
seen only one 5%+ pullback compared to the average three per year, underscoring relatively resilient market conditions.[5] Year-to-date, the S&P 500 has increased 13%, well above the average annual return of 3% according to Bloomberg through September 25, and on pace to mark the strongest midterm election year since 2006. Taken together, 2026 has thus far defied the traditionally weak midterm year seasonal pattern, reinforcing that every election cycle is unique and historical trends may be a useful guide to navigate market volatility.

What's Ahead? Forward performance is increasingly constructive for Equities. In the post-war period, the S&P 500 rose 100% of the time in the six and 12 months following elections, averaging 13% and 14%, respectively.[6] Even narrowing the time frame to three months, markets ended higher 90% of the time. As investors push through the finish line, the last three months of the year tend to be the strongest with October standing out, ending higher 67% of the time. On average, Q4 has gained 5.6% since 1930, far surpassing the preceding three quarters of election years.[7] Greater clarity about the U.S. fiscal policy path serves as a potential tailwind for investors following the election.

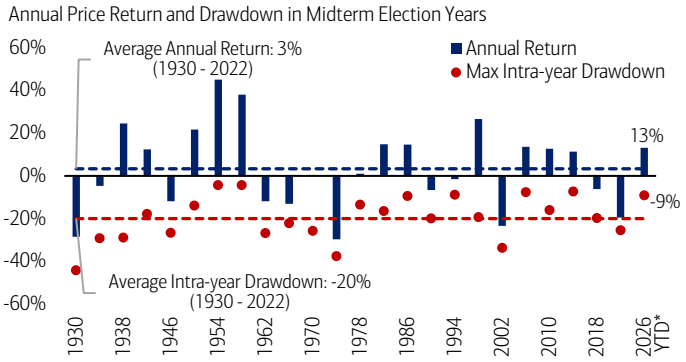
To Take Home. Volatility tends to rise during midterm years, but history suggests that reacting to short-term political uncertainty has rarely rewarded long-term investors. Over longer horizons, the data suggests Equity returns and economic strength are shaped less by election outcomes than by corporate profits, valuations, labor market conditions and capital investments.

Exhibit 2: A Look at Midterms Through Charts.

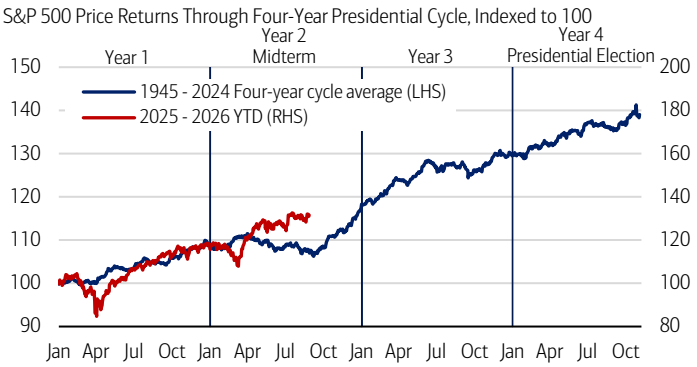
A) S&P 500 Volatility by Month.



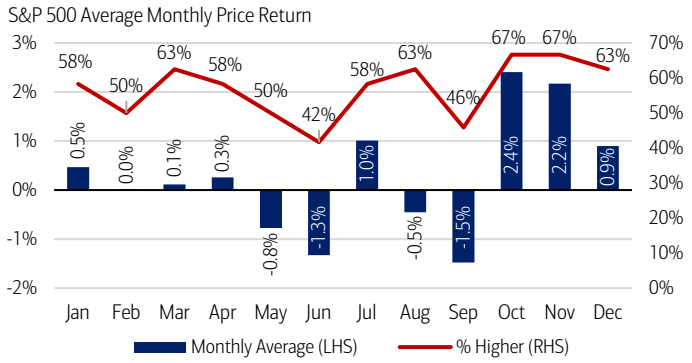
B) S&P 500 Annual Price Return by Midterm Election Year.



C) S&P 500 Price Returns Through Four-Year Presidential Cycle, Index to 100.



D) S&P 500 Monthly Performance During Midterm Election Years (1930 - 2022).



*Year-to-Date. Exhibit 2A) Source: Bloomberg. Data through December 31, 2025, as of September 22, 2026. Volatility is calculated using the standard deviation of daily S&P 500 price returns each month. Median volatility for each month is displayed on an annualized basis. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. Price returns referenced. Exhibit 2C) Source: Bloomberg. Data as of September 25, 2026. 1945 - 2024 period through December 31, 2024. 2025 – 2026 YTD period through September 25, 2026. Exhibit 2D) Source: Bloomberg, as of September 22, 2026. Data through December 31, 2022. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[5] BofA Global Research, Bloomberg. Data as of September 22, 2026.
[6] Chief Investment Office, Bloomberg. As of September 22, 2026. Post-war period: 1946 – 2022. Price returns referenced.
[7] Bloomberg. Data as of September 22, 2026. Price returns referenced.

What is the bond market telling us?

Christopher Hyzy, *Chief Investment Office*

We believe the bond market is telling us that the Fed is on track to meeting their dual mandate of price stability and full employment. More importantly, when examining the full yield curve the 2-year Treasury yield is currently around 4.88%, which typically is the most sensitive to the fed funds rate and tends to price in future potential policy adjustments. At the same time, the 10-year Treasury yield is currently about 5.11%. This leads us to believe that the market expects the Fed to engineer a couple of more hikes while the back end of the curve is indicating that economic growth is still healthy.

Taken together, it appears the full curve, which has clearly flattened, believes the Fed is doing its job, while supply shocks, for obvious reasons, are not leading to higher long-run inflation. The backup in long-dated yields is growth, not necessarily inflation as indicated by rising "real" yields. Therefore, we view the drift higher in yields as a more normal sign than what many have originally suggested. We continue to emphasize higher economic growth for longer, rising productivity in the medium term, supply shortages to remain in key areas within the AI space, and shocks in the energy equation. We expect the energy shocks to ultimately fade away over time, but we do not believe that growth fades anytime soon. In our view, a more normal bond market pricing in Fed moves at the short end, and growth at the long end helps financial conditions and economic growth operate in a more durable manner.

In summary, the front-end of the curve expects 3 to 4 more hikes in the next 18 months or so. This can be debated obviously based on future data especially short-term energy supply shocks. Long-end yields are drifting higher based on five main factors below, in our view.

1. Strong economic growth (both services and manufacturing)
2. Hawkish Fed
3. Debt and deficit concerns
4. Lower demand for long duration sovereign debt in general
5. Energy supply shocks

The largest weight being strong economic activity which kick starts portfolio repositioning particularly as the Fed hikes rates. The repositioning stops once demand rises again when yields reach attractive levels for the more patient longer term investment community. The supply shocks ultimately end and debt and deficit worries will likely remain, but they still take a backseat for now. Longer duration government debt is becoming more attractive each week even in the face of the concerns above. Be patient

Investment Implications

We continue to expect resilient economic growth, supported by productivity gains, AI-related investment, and a more balanced bond market that may help sustain favorable financial conditions.

Exhibit 3: The Treasury Yield Curve Prices Additional Tightening and Continued Growth.

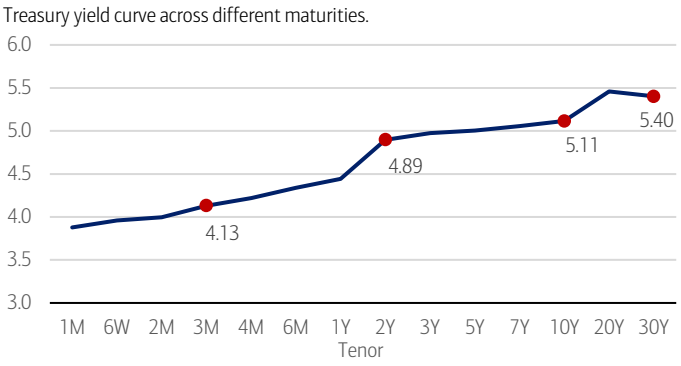
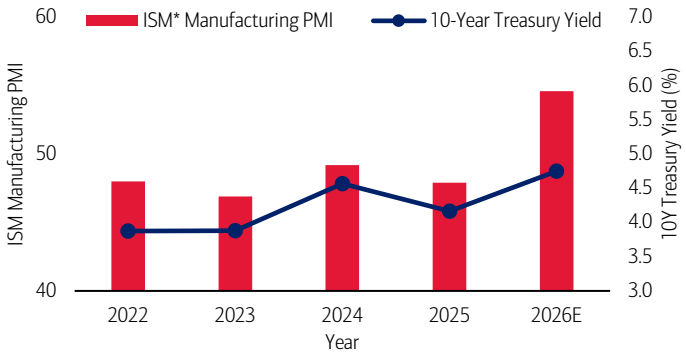


Exhibit 4: Economic Growth Has Remained Resilent Amid Higher Yields.



E=estimate. Exhibit 3) Source: Bloomberg. Data as of September 23, 2026. Exhibit 4) Source: Bloomberg. Data as of August 31, 2026. 2022-2025 are year-end *Institute for Supply Management (ISM) Manufacturing PMI data and 10-year yield data. 2026 uses latest available ISM Manufacturing PMI data from August 31, 2026 and 10-year yield data from August 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,828.62	0.3	-2.4	9.1
NASDAQ	27,068.72	2.1	2.7	17.0
S&P 500	7,743.41	1.2	0.8	14.1
S&P 400 Mid Cap	3,648.57	0.0	-2.9	11.4
Russell 2000	2,837.55	-0.8	-3.9	15.3
MSCI World	4,957.96	0.9	-0.1	13.0
MSCI EAFE	3,148.63	0.2	-2.5	10.9
MSCI Emerging Markets	1,732.35	1.3	0.9	25.2

Fixed Income†

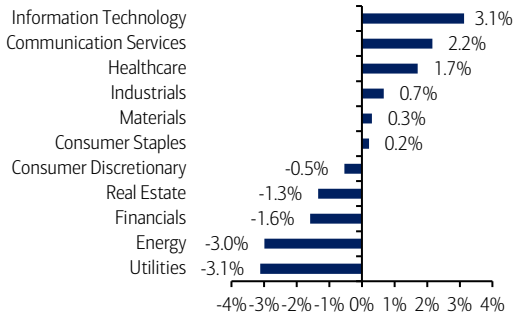
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.36	-0.80	-1.86	-2.30
Agencies	5.14	-0.39	-1.33	-0.89
Municipals	4.69	-1.81	-3.82	-3.63
U.S. Investment-Grade Credit	5.46	-0.82	-1.98	-2.28
International	5.93	-1.07	-2.05	-2.44
High Yield	8.10	-0.92	-1.84	0.80
90 Day Yield	4.17	4.07	3.83	3.63
2 Year Yield	4.85	4.74	4.34	3.47
10 Year Yield	5.16	5.00	4.75	4.17
30 Year Yield	5.49	5.33	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	373.41	-0.7	2.4	35.2
WTI Crude $/Barrel††	92.41	-7.9	7.8	60.9
Gold Spot $/Ounce††	4284.81	-2.1	-3.4	-0.8

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.15	1.16	1.17
USD/JPY	157.28	156.88	159.74	156.71
USD/CNH	6.72	6.70	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/21/2026 to 09/25/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/25/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/25/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 25, 2026.
Sources: BofA Global Research; GWIM ISC as of September 25, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	
Financials				▶	
Healthcare			▶		
Consumer Discretionary				◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Price Return is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States. A price return index is a stock market index that tracks only the price changes and capital gains or losses of its component securities, without including dividends or cash distributions.

S&P Global Flash U.S. Composite Purchasing Managers' Index is an early monthly economic indicator that estimates overall private-sector business activity by combining manufacturing and service data.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a market basket of everyday goods and services.

Institute for Supply Management Manufacturing Purchasing Managers' Index is a monthly economic indicator reflecting U.S. manufacturing sector health by surveying purchasing managers about business conditions.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 21, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Yen, 10-Year Yield and Iran: Bessent's Three-Front War and the Stakes for Investors:* Scott Bessent may carry the title of Treasury secretary, but these days he looks more like America's financial field marshal. His battlefield stretches from Tokyo, where he is trying to engineer a stronger Japan yen, to the U.S. Treasury market, where he is battling to keep the 10-year yield from breaking decisively above 5%, and to Tehran, where he has become the point man in the escalating U.S. campaign to squeeze Iran financially and economically.

How Scott Bessent's three-front war plays out remains to be seen. A decisive victory on all three fronts is unlikely since corralling currency and bond markets is next to impossible, while the whims of geopolitics can lay waste to the best laid plans. That said, however, the U.S. Secretary of the Treasury has signaled that he is ready to take a very proactive, pro-growth approach to his job. That's the good news. The less encouraging news stems from the inconsistencies in the overarching objectives of the Treasury secretary.

Market View—*Beyond AI's Resource Footprint, Consider its "Handprint":* Behind every Artificial Intelligence (AI)-generated response is a vast physical network of data centers, power plants, transmission lines, cooling systems, semiconductor facilities and critical-mineral supply chains. As adoption accelerates, growing demand for power, water, advanced hardware and raw materials could strain grids, raise emissions and intensify pressure on local resources. Yet the sustainability conversation should extend beyond AI's footprint to consider whether its environmental benefits can outweigh its resource demands.

Thought of the Week—*The Beauty of September:* Call it an eventful first 13 trading days of September: Brent crude re-eclipsed $100 per barrel, diesel prices surpassed $6 per gallon for the first time in history, the 10-year U.S. Treasury yield breached 5%, and the Federal Reserve (Fed) joined the European Central Bank (ECB) and the Bank of Japan (BoJ) in hiking rates for the first time since July 2023. Through it all, the S&P 500 has shed 1.4% since the start of the month. It's not unexpected that September would be choppy for U.S. Equities, especially in a midterm election year. The good news is that this has historically been an attractive entry point. Since 1950, the S&P 500 has never been negative in the six or twelve months post-midterm election, boasting average returns of 13.8% and 15.8%, respectively. Volatility is likely to rise into October before moderating post-election. A correction amid a strong fundamental economic backdrop would be a potential buying opportunity in our view.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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MACRO STRATEGY

The Yen, 10-Year Yield and Iran: Bessent's Three-Front War and the Stakes for Investors

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Scott Bessent may carry the title of Treasury Secretary, but these days he looks more like America's financial field marshal. His battlefield stretches from Tokyo, where he is trying to engineer a stronger Japan yen; to the U.S. Treasury market, where he is battling to keep the 10-year yield from breaking decisively above 5%; and Tehran, where he has become the point man in the escalating U.S. campaign to squeeze Iran financially and economically.

Make no mistake about it: Secretary Bessent and the Treasury Department are increasingly an instrument of American economic statecraft, charged not simply with financing the government and overseeing the financial system, but with managing markets, currencies and geopolitical adversaries simultaneously. Welcome to the new age of financial warfare.

Front One: Defending the Yen. The first front unfolded over the summer when Secretary Bessent and the BoJ stealthily intervened in support of the yen, which had fallen to a near 40-year low against the dollar by late July. To arrest the yen's decline, the U.S. Treasury sold euros instead of dollars in support of the yen, while pushing the BoJ to make use of the Fed's emergency repo facilities. In further support of the yen, the BoJ did what Bessent and the markets have been pining for, raising its official rate by 25 basis points (bps) to 1.25%.

Since intervening in the foreign exchange markets, the yen has appreciated by nearly 5% against the U.S. dollar, alleviating concerns of a disorderly unwind of the yen and giving Bessent—thus far—an important victory. Defending the yen, of course, isn't simply about Japan—it's about the U.S. and the need for foreign capital inflows.

Japan is one of America's largest foreign creditors. A persistently weak yen creates pressure on Tokyo to defend its currency, potentially by selling some of its enormous holdings of foreign assets, including U.S. Treasurys. That prospect didn't sit well with the Treasury secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, the last thing Mr. Bessent wants is one of America's largest creditors to become a significant seller of Treasury securities. Hence, the battle to backstop Japan's currency.

Front Two: Defending the 10-Year Bond. Mr. Bessent has had less success on the second front: the U.S. bond market. While the 10-year Treasury yield slipped slightly following last week's decision by the Fed to boost the fed funds rate by 25 bps, the benchmark interest rate is up roughly 85 bps since the start of the year. Stubbornly high inflation, elevated oil prices, enormous government borrowing requirements and growing investor anxiety over America's fiscal trajectory have all converged and conspired to keep the 10-year yield closer to 5% than 4%.

Field Marshal Bessent is very aware that the 10-year Treasury is the gravitational center of global finance—and that mortgage rates, corporate borrowing costs, equity valuations and the government's own interest bill all take their cue from it. A sustained move materially above 5% would tighten financial conditions across the American economy, potentially threaten the Equity bull market, and pile more pressure on the Republican Party.

To prevent this from happening, the Treasury has expanded its bond-buyback operations, including purchases of longer-dated government securities, in an effort to improve liquidity and relieve some pressure on the market, while shifting new government debt issuance into short-term bills. Yet the bond vigilantes have so far proved harder to intimidate than currency traders. Even after Treasury announced additional purchases, yields continued climbing before receiving some relief from the latest hawkish move from the Fed.

Over the medium term, if investors believe Washington is borrowing too much, inflation is running too hot or the supply of bonds is overwhelming global demand, they will demand a higher yield to own America's debt. This battle is far from over.

Front Three: Squeezing Tehran. Then there is Iran, where Mr. Bessent is wielding an entirely different weapon: America's control over the plumbing of global finance. In practice

Investment Implications

We expect continued investor support and preference for real hard assets, and a bias towards a plethora of commodities and industrial plays.

this means the Treasury can make a foreign bank choose between doing business with Iran or the U.S. It can freeze assets, blacklist companies, restrict transactions and pressure allies to close financial escape routes.

Under "Operation Economic Outcast," billed as economic "D-Day," Treasury has intensified sanctions against Iranian entities and financial networks, including recent actions against Iran aviation and additional efforts aimed at banks and organizations facilitating Tehran's international transactions. Mr. Bessent has described the objective in unusually stark terms: to "economically asphyxiate" the Iran regime. This is economic warfare in its purest form, but whether it works remains to be seen.

"Asphyxiating" an economy takes time and patience—and international cooperation and coordination. It means closing multiple global loopholes of third-party entities still willing and able to do business with Iran—look no further than Russian banks. In addition, squeezing a major oil producer runs the risk of aggravating global oil supplies, keeping oil prices elevated. Higher energy costs, in turn, feed right back into the U.S. inflation outlook the Fed is trying to tame and keeps the bond vigilantes on guard and ready to push back. Not unlike the battle to suppress U.S. bond yields, the battle to bring Iran to heel is going to be a long one.

How does it all end? How Scott Bessent's three-front war plays out remains to be seen. A decisive victory on all three fronts is unlikely since corralling currency and bond markets is next to impossible, while the whims of geopolitics can lay waste to the best-laid plans.

That said, however, the U.S. Treasury Secretary has signaled that he is ready to take a very proactive, pro-growth approach to his job. That's the good news. The less encouraging news stems from the inconsistencies in the overarching objectives of the Treasury secretary.

Mr. Bessent can pressure Iran because access to the dollar-based financial system remains extraordinarily valuable. He can intervene in foreign-exchange markets because America's financial resources give Washington enormous clout. And he can attempt to influence the Treasury market because U.S. government securities remain the foundation of the global financial system. But therein lies the contradiction.

The U.S. is simultaneously weaponizing the financial system abroad while becoming more dependent on that same financial system at home. Washington wants the world to fear losing access to dollars while also asking the world to lend it trillions of dollars. It wants to use Treasury and dollar dominance as instruments of geopolitical coercion while running fiscal deficits that require foreigners to continue believing deeply in those very assets.

The more Washington borrows, the more sensitive it becomes to bond-market discipline. The more aggressively it weaponizes access to the dollar, the greater the incentive for adversaries to seek alternatives. And the more the Treasury secretary intervenes directly in markets, the more investors may begin wondering where economic policy ends and market management begins.

Exhibit 1: Scott Bessent's Three-Front War.

The Front	The Problem	Bessent's Objective	The Weapon
The Yen	Weak yen/currency instability	Stronger yen	Foreign Exchange intervention, policy coordination, pressure on Japan
The Yield	Rising 10-year Treasury yield	Lower/contained yields	Debt-management strategy, buybacks, issuance policy
Iran	Tehran's access to global finance	Maximum financial pressure	Sanctions, asset restrictions, dollar-system leverage

Source: Chief Investment Office.

For the moment, Mr. Bessent is fighting on three fronts. He wants a stronger yen, a lower 10-year Treasury yield and an economically isolated Iran. Success on any one front would be difficult. Achieving all three simultaneously will require considerable skill—and perhaps a little luck.

Beyond AI's Resource Footprint, Consider its "Handprint"

Anna Potts, *CFA, Vice President and Investment Strategist*

Since the launch of ChatGPT, investors have celebrated AI's potential while growing more concerned about its resource footprint: Behind every AI-generated response is a physical network of data centers, power plants, transmission lines, cooling systems, semiconductor facilities and critical-mineral supply chains. No doubt, the AI revolution has environmental costs. As adoption accelerates, growing demand for power, water, advanced hardware and raw materials could strain grids, raise emissions and intensify pressure on local resources. Yet the sustainability conversation should extend beyond AI's footprint to consider whether its environmental benefits can outweigh its resource demands.

AI's footprint is large, growing and certainly not trivial. AI increases electricity demand, adds large, concentrated loads to already constrained grids, and may slow the retirement of polluting energy assets. U.S. data centers could account for 20% of national electricity consumption by 2035, up from 5.9% today, with power needs reaching 194 gigawatts (comparable to the electricity demand of more than 150 million homes).[1] Cooling, power generation and semiconductor manufacturing require water; each new megawatt also embeds substantial copper, aluminum and other materials; and short hardware cycles can increase electronic waste. Use varies sharply by workload: Complex reasoning and agentic tasks can consume many times more energy than a simple text prompt. The effects are already reaching consumers and communities. Wholesale power costs on PJM—the largest U.S. grid—rose 76% year-over-year in Q1 2026, while data-center load included in its previous two capacity auctions added an estimated $13.8 billion to customer bills.[2] Communities are mobilizing around their concerns, including affordability, water use and air pollution: Q1 2026 produced the largest single quarterly concentration of delayed or blocked data-center projects on record.[3] Opposition is therefore becoming a development constraint to be considered.

Context, caveats and comparisons. Headlines often tell only part of the story. Globally, data centers account for about 1% of electricity use,[4] modest relative to many industries, and 9% of estimated global 2025 to 2030 electricity growth.[5] A typical text prompt on one major company's AI model[6] uses 0.24 watt-hours of electricity, emits 0.03 grams of CO_2 and consumes 0.26 milliliters of water—roughly 617,000 prompts match the emissions from producing and cooking one sirloin steak, while 262,000 match the water used in an eight-minute shower.[7] Still, billions of interactions, more complex workloads and growth in resource-constrained regions can create meaningful cumulative impacts. The most meaningful assessment therefore depends on workload, utilization, location, grid mix, cooling design, local water availability and who bears the cost of supporting infrastructure, not one universal number.

AI's Handprint. While much remains to be seen, AI's environmental "handprint"—the benefits it can enable—could potentially prove larger than its direct footprint in some areas. Across the energy system, AI can help utilities better match electricity supply and demand, balance grids, optimize storage and reduce wasted energy. Data centers already account for more than 30% of corporate renewable power-purchase agreements, helping create long-dated demand for clean generation.[8] Beyond power, AI can improve precision agriculture, streamline transportation and inventories, and support product

Investment Implications

Responsible AI growth requires investment in power generation, grid modernization, energy storage, advanced cooling, water treatment and reuse, efficient computing, and materials recovery and recycling. Diversified environmental and thematic strategies may offer exposure to these physical enablers while reducing reliance on benchmark names.

[1] BloombergNEF, Data Centers on Track to Suck Up a Fifth of US Power Use by 2035, July 21, 2026.
[2] BloombergNEF, AI Buildout Drives 76% Power Bill Jump on Largest US Grid, May 14, 2026.
[3] Data Center Watch, Q1 2026 Insights Report, May 2026.
[4] Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026.
[5] International Energy Agency, as of January 2026.
[6] Google Cloud, Amin Vahdat and Jeff Dean, "How Much Energy Does Google's AI Use? We Did the Math," August 21, 2025.
[7] U.S. Environmental Protection Agency, WaterSense, May 2026.
[8] Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026.

design, predictive maintenance, waste sorting and recycling. AI is transforming climate risk management by using satellite imagery, weather data and predictive analytics to forecast floods, wildfires and extreme weather events, enabling governments, companies, and investors to anticipate risks and allocate capital more effectively (Exhibit 2). These gains are not automatic: they depend on innovation, adoption, and whether efficiency improvements reduce total resource use rather than simply stimulate more demand. All industries are faced with the opportunity to responsibly use AI to make operations more efficient, and much is yet to be discovered.

Exhibit 2: From Footprint to Handprint: Select AI Environmental Applications.

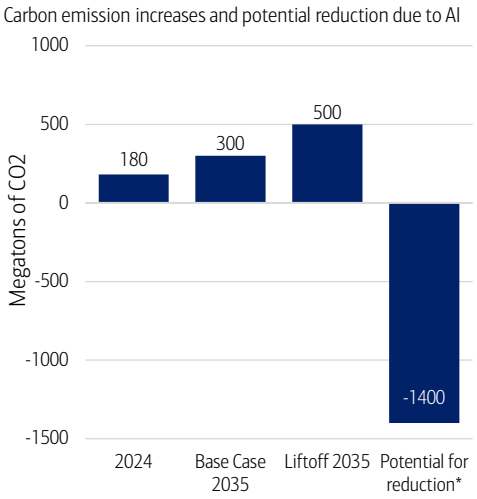
ELECTRONS	CLIMATE RISK	WATER	MATERIALS
• Save over $100 billion annually through grid optimization, forecasting and operational efficiency improvements in power plants. • Scaled applications could avoid up to 1.5 Gt of CO_2 by 2035, about five times projected data-center emissions. (See Exhibit 3.) • Reduce contrail formation by 62% among flights that successfully followed AI-generated avoidance plans in a 2,400-flight transatlantic trial. • Reduce vehicle stops by up to 30% and intersection emissions by up to 10% through AI-optimized traffic signals.	• Identify properties exposed to flood or wildfire risk. • Assess supply chain vulnerabilities. • Model physical risks to infrastructure and real assets. • Price insurance and credit risk more accurately. • Evaluate climate adaptation opportunities.	• Reduce water, fertilizer and chemical inputs while helping farmers grow up to 30% more food. • Improve leak detection and water-system management. • Use wastewater recycling, rainwater harvesting and closed-loop cooling which can reduce freshwater demand by 50-70%.	• Use generative design and digital twins to reduce material intensity before production. • Improve maintenance, inventories, waste sorting and recycling: AI-guided sorting systems can process 80 items per minute at up to 99% accuracy—more than twice the speed of human sorting.

Sources: Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026; BofA Global Research, "Data Centers: Power-Hungry, Water-Thirsty, Metals-Needy, $5tn Opportunity," April 21, 2026; BloombergNEF, "Data Centers on Track to Suck Up a Fifth of US Power Use by 2035," July 21, 2026; BloombergNEF, "AI Buildout Drives 76% Power Bill Jump on Largest US Grid," May 14, 2026; BloombergNEF, "AI's Environmental Impact Per Task Balloons With More Complexity," September 3, 2026.; Google Research, March 2026.; US Plastics Pact.

AI's potential handprint becomes more tangible in transportation, agriculture and climate resilience. In aviation, for example, AI can combine weather forecasts, flight paths and atmospheric conditions to reroute aircraft around regions where warming contrails are most likely to form—reducing climate impact without requiring a new aircraft or fuel system. On farms, machine learning can interpret aerial imagery and field-level sensor data to identify crop stress early, directing water, fertilizer and chemicals to where they are needed and helping growers improve yields while reducing inputs. AI can also strengthen climate preparedness by analyzing satellite imagery, weather data and infrastructure exposure to detect deforestation, anticipate floods or wildfires, and identify communities, facilities and supply chains most vulnerable to physical hazards. These are just a few examples that illustrate how AI's value can extend beyond incremental efficiency gains to reshape real-world decisions.

Investment Considerations. The challenges created by AI also create potential investment opportunities. Companies are investing in efficient chips, closed-loop cooling, reclaimed-water systems, energy storage, grid upgrades and cleaner firm power to reduce resource intensity and improve reliability. Professionally managed environmental and thematic strategies can target these "picks and shovels" of the digital buildout, alongside businesses using AI to improve efficiency across energy management, water infrastructure, environmental services, waste management and compute. A disciplined thematic approach can diversify exposure beyond the largest benchmark constituents while positioning for structural growth in power demand, grid modernization and resource efficiency. Focusing solely on AI's footprint risks overlooking both the companies helping it scale more efficiently and the broader environmental benefits its handprint may enable.

Exhibit 3: AI Drives Up Carbon Dioxide Emissions, But Applications of it Could Offset.



Source: International Energy Agency, Energy and AI, April 2025. *References IEA's Widespread Adoption Case, which explores the impact that known AI applications could have at the sectoral level by 2035, assuming the widespread adoption of the application or technology.

The Beauty of September

Ariana Chiu, *Assistant Vice President and Investment Strategist*

Call it an eventful first 13 trading days of September: Brent crude re-eclipsed $100 per barrel, diesel prices surpassed $6 per gallon for the first time in history, the 10-year U.S. Treasury yield breached 5%,[9] and the Fed joined the ECB and the BoJ in hiking rates for the first time since July 2023. Through it all, the S&P 500 has shed 1.4% since the start of the month, while its equal-weighted counterpart is down by 3.3%.

It's not all too unexpected that September would be a choppy month for U.S. Equities. Historical seasonal patterns suggest as much. Since 1928, the average S&P 500 return in September has come out to -1.1%,[10] not only the worst month of the year on average but also the only month when the benchmark has ended lower more often than it's ended higher. Similar weakness has been seen in midterm election years, with the S&P 500 producing an average September return of -0.8% since 1950.[10]

The good news is that this has historically been an attractive entry point for U.S. Equity investors. Call it the beauty of September: In contrast to September's average decline, average returns improve in October (+3.0%), November (+2.7%), and December (+0.8%). Indeed, the S&P 500 has never been negative in the six or 12 months post-midterm election since 1950 (Exhibit 4A), boasting an impressive average return of 13.8% and 15.8% over those respective periods.[10]

Looking ahead to the coming weeks, we have little reason to believe that 2026 will diverge from the historical trend. Volatility is likely to rise into October before moderating post-election, in line with what's typical in the months surrounding the midterms (Exhibit 4B). A quieter corporate calendar ahead of Q3 earnings means investor focus will remain on incoming macro data, the path of energy prices, and the Fed's policy path.

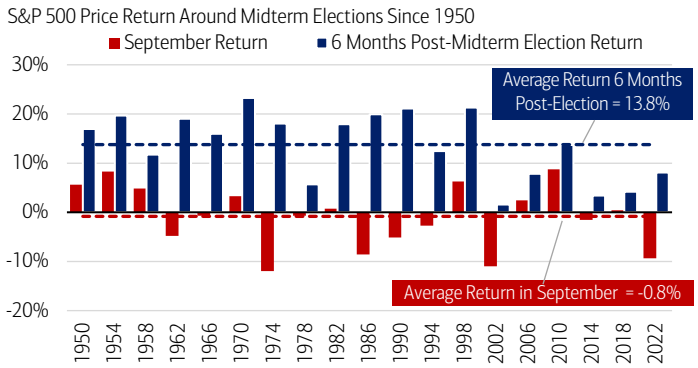
In the meantime, while the S&P 500 still stands just 2.7% below its mid-August high, churn beneath the surface already appears to be taking place. Just 38% of S&P 500 members now stand above their 50-day moving average versus 70% a mere month ago.[9] Far from worrisome, a correction in the near term in the context of a strong fundamental economic backdrop would be a potential buying opportunity in our view.

Investment Implications

With growth continuing to suggest a strong earnings backdrop, we remain overweight U.S. Equities and view possible episodic volatility and weakness in the coming months as a potential buying opportunity in portfolios.

Exhibit 4: History Tells Us to Look Beyond September.

A) Look Past September: S&P 500 Returns Tend to Improve Post-Midterm Election.



B) Implied Equity Volatility Tends to Peak Near Midterm Election Day.

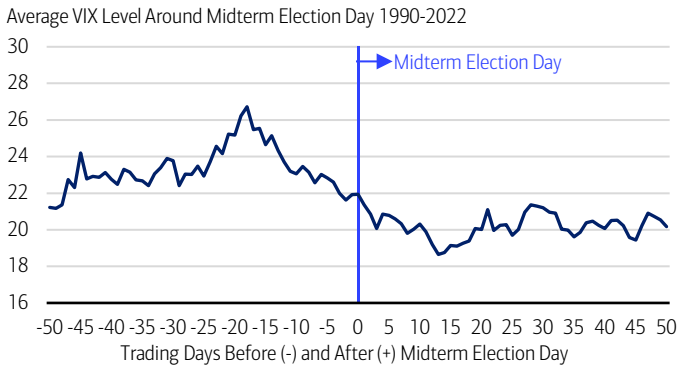


Exhibit 4A): Source: Bloomberg. 6 month period defined as 125 trading days after respective midterm election date. Data through 2022. Exhibit 4B): Source: Bloomberg. Refers to average expected volatility of the S&P 500 over the next 30 days. Data from 1990-2022. **Past performance is no guarantee of future results.** Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report.

[9] Bloomberg. Data as of September 18, 2026.
[10] Refers to data through 2022.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,682.64	-1.6	-2.7	8.8
NASDAQ	26,522.54	0.7	0.6	14.6
S&P 500	7,650.50	-0.1	-0.4	12.7
S&P 400 Mid Cap	3,650.73	-1.7	-2.8	11.5
Russell 2000	2,860.40	-1.5	-3.2	16.2
MSCI World	4,913.98	-0.5	-1.0	11.9
MSCI EAFE	3,142.97	-1.6	-2.7	10.7
MSCI Emerging Markets	1,710.85	-0.6	-0.4	23.6

Fixed Income†

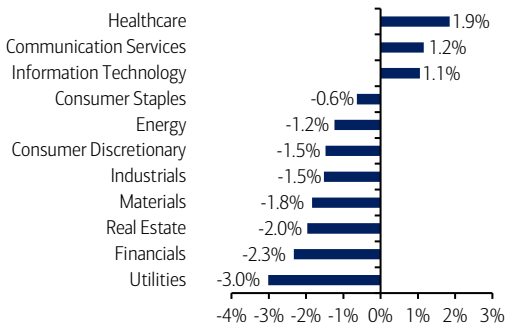
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.23	-0.03	-1.07	-1.52
Agencies	5.02	-0.22	-0.94	-0.50
Municipals	4.37	-0.31	-2.05	-1.86
U.S. Investment-Grade Credit	5.32	-0.03	-1.16	-1.46
International	5.77	0.13	-0.99	-1.39
High Yield	7.73	-0.28	-0.93	1.73
90 Day Yield	4.07	4.00	3.83	3.63
2 Year Yield	4.74	4.63	4.34	3.47
10 Year Yield	5.00	4.97	4.75	4.17
30 Year Yield	5.33	5.35	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	376.01	0.2	3.1	36.1
WTI Crude $/Barrel††	100.30	0.2	17.0	74.7
Gold Spot $/Ounce††	4378.63	0.7	-1.3	1.4

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.16	1.16	1.17
USD/JPY	156.88	153.61	159.74	156.71
USD/CNH	6.70	6.71	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/14/2026 to 09/18/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/18/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/18/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.6	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 18, 2026.
Sources: BofA Global Research; GWIM ISC as of September 18, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	●
Financials				▶	●
Healthcare			▶	●	
Consumer Discretionary			●	◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index gives every company in the S&P 500 the exact same weight of 0.2% during quarterly rebalances.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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